Answer Key - Economics - Undergraduate Level Assessment 11 (Answers are ordered exactly as in the question paper.)

Multiple Choice

1. **Answer:** D
   Options: A) The elasticity of the long-run aggregate supply curve; B) The spending (or expenditure) multiplier; C) The investment multiplier; D) The balanced budget multiplier; E) The aggregate demand multiplier
   Note: Correct option: D - The balanced budget multiplier

2. **Answer:** C
   Options: A) An increase in government spending.; B) A decrease in interest rates.; C) Contractionary demand management policies.; D) An increase in consumer confidence.; E) An increase in the money supply.
   Note: Correct option: C - Contractionary demand management policies.

3. **Answer:** E
   Options: A) The value of the dollar increased significantly.; B) The United States' GDP decreased by $603 billion.; C) The United States imported exactly $603 billion worth of goods.; D) The United States had a trade surplus.; E) Americans consumed more than they produced.
   Note: Correct option: E - Americans consumed more than they produced.

4. **Answer:** A
   Options: A) Average total cost = total fixed costs plus total variable costs.; B) Average total cost = total costs divided by the marginal cost of production.; C) Average total cost = total variable costs divided by the number of units produced.; D) Average total cost = total fixed costs divided by the number of units produced.; E) Average total cost = average variable cost plus marginal cost.
   Note: Correct option: A - Average total cost = total fixed costs plus total variable costs.

5. **Answer:** A
   Options: A) surplus expansion surplus expansion; B) deficit recession deficit expansion; C) surplus expansion deficit recession; D) deficit expansion deficit recession; E) surplus expansion surplus recession
   Note: Correct option: A - surplus expansion surplus expansion

True / False

6. **Answer:** False
   Options: A) True; B) False
   Note: LLM-generated false statement. Correct answer: 'The b and d coefficients significant'.

7. **Answer:** False
   Options: A) True; B) False
   Note: LLM-generated false statement. Correct answer: 'Increase Increase'.

8. **Answer:** False
   Options: A) True; B) False
   Note: LLM-generated false statement. Correct answer: 'the price level rises with an increase in aggregate demand.'.

9. **Answer:** False
   Options: A) True; B) False
   Note: LLM-generated false statement. Correct answer: 'an increase in the quantity demanded.'.

10. **Answer:** False
    Options: A) True; B) False
    Note: LLM-generated false statement. Correct answer: 'Saving is equal to zero when consumption equals disposable income.'.

Long Form Response

11. **Answer:** Infinitely. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
    Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** Resource prices will become unpredictable in both countries. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
    Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key